

ALABAMA DEPARTMENT OF REVENUE
ADMINISTRATIVE CODE

CHAPTER 810-3-8
RECOGNITION OF GAIN OR LOSS

**810-3-8-.19 Sales Of Stock To Employee Stock Ownership Plans
Or Certain Cooperatives.**

(1) The amount of gain recognized by a taxpayer who has made a valid election under 26 U.S.C. §1042, relating to sales of stock to employee stock ownership plans or certain cooperatives, shall be determined in accordance with 26 U.S.C. §1042.

(2) If a taxpayer disposes of qualified replacement property, as defined by 26 U.S.C. §1042, and recognizes gain under 26 U.S.C. §1042(e), then the gain shall be recognized to the same extent and at the same time as under 26 U.S.C. §1042(e).

(3) For interpretation of federal statutes adopted by the Alabama Legislature see Rule 810-3-1.1-.01, Operating Rules.

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Statutory Authority: Code of Ala. 1975, §§40-2A-7-(a)(5), 40-18-1.

History: Filed May 15, 1992. **Amended:** Filed March 4, 1997; effective April 8, 1997. **Repealed and New Rule:** Filed April 28, 1999; effective June 2, 1999.